Japan Equity Market Research Report

July 2026 | Frameworks: PESTEL Analysis · Regulatory Landscape Map · Technology Adoption S-Curve

Executive Summary

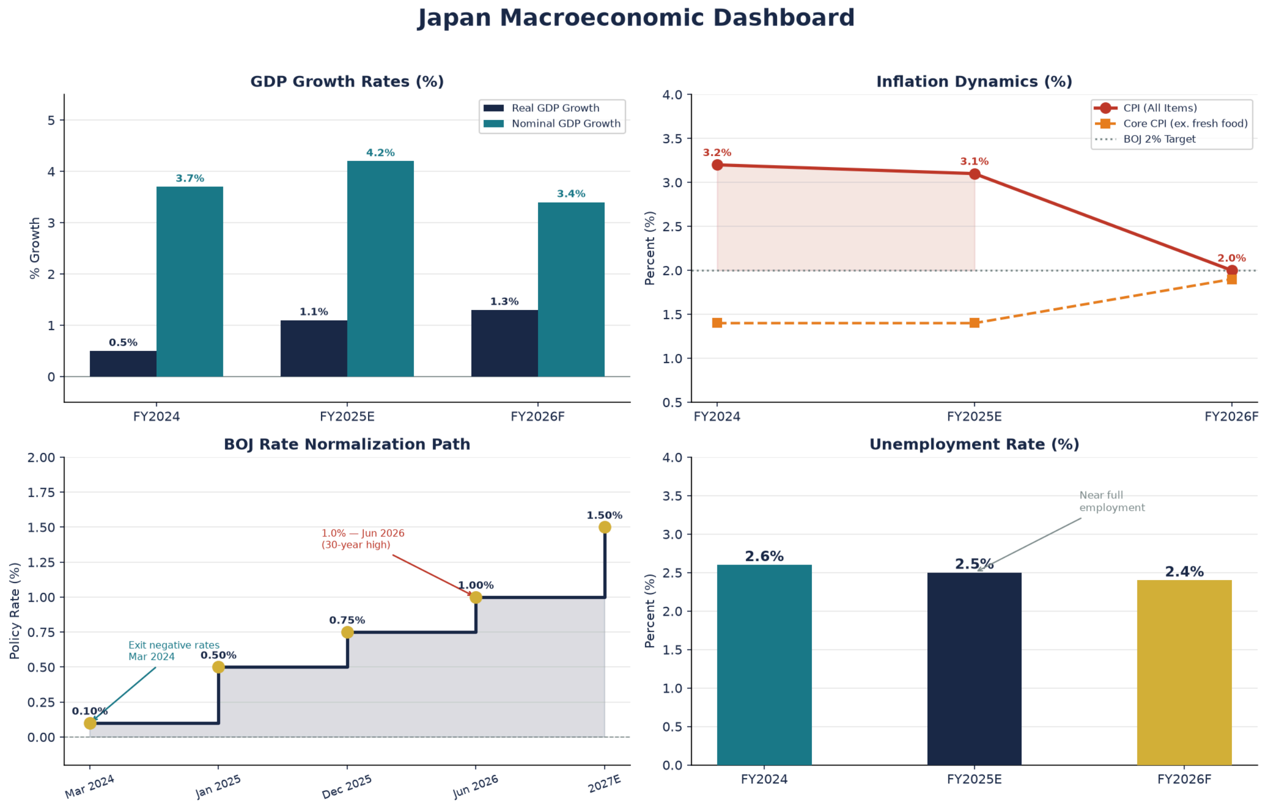
Japan's equity market has undergone a structural re-rating that few anticipated in breadth or speed. The Nikkei 225 stands at 69,000 points as of July 7, 2026 — up 37.4% year-to-date and over 70% since January 2025 — driven by three reinforcing forces: corporate governance reform translating into genuine earnings improvement, monetary normalization validating a reflationary macro backdrop, and record foreign inflows targeting Japan as the credible alternative to US equity overvaluation.

The re-rating is no longer purely a valuation story. TOPIX return on equity is approaching 10% for Prime constituents, share buyback authorizations exceeded ¥17 trillion in FY2024, and cross-shareholdings are being unwound at pace not seen since the post-bubble era. Real GDP grew at an annualized 1.8% in Q1 2026 (Cabinet Office of Japan), BOJ policy rate reached 1.00% in June 2026 (Bank of Japan), and the unemployment rate holds near full employment at 2.5%.

Key risks are not trivial: US tariff exposure in automotive remains a structural drag, demographic headwinds suppress domestic consumption potential, and BOJ normalization introduces rate sensitivity across leveraged sectors. However, the balance of risks has shifted decisively toward the bull case for selective, reform-aligned exposures.

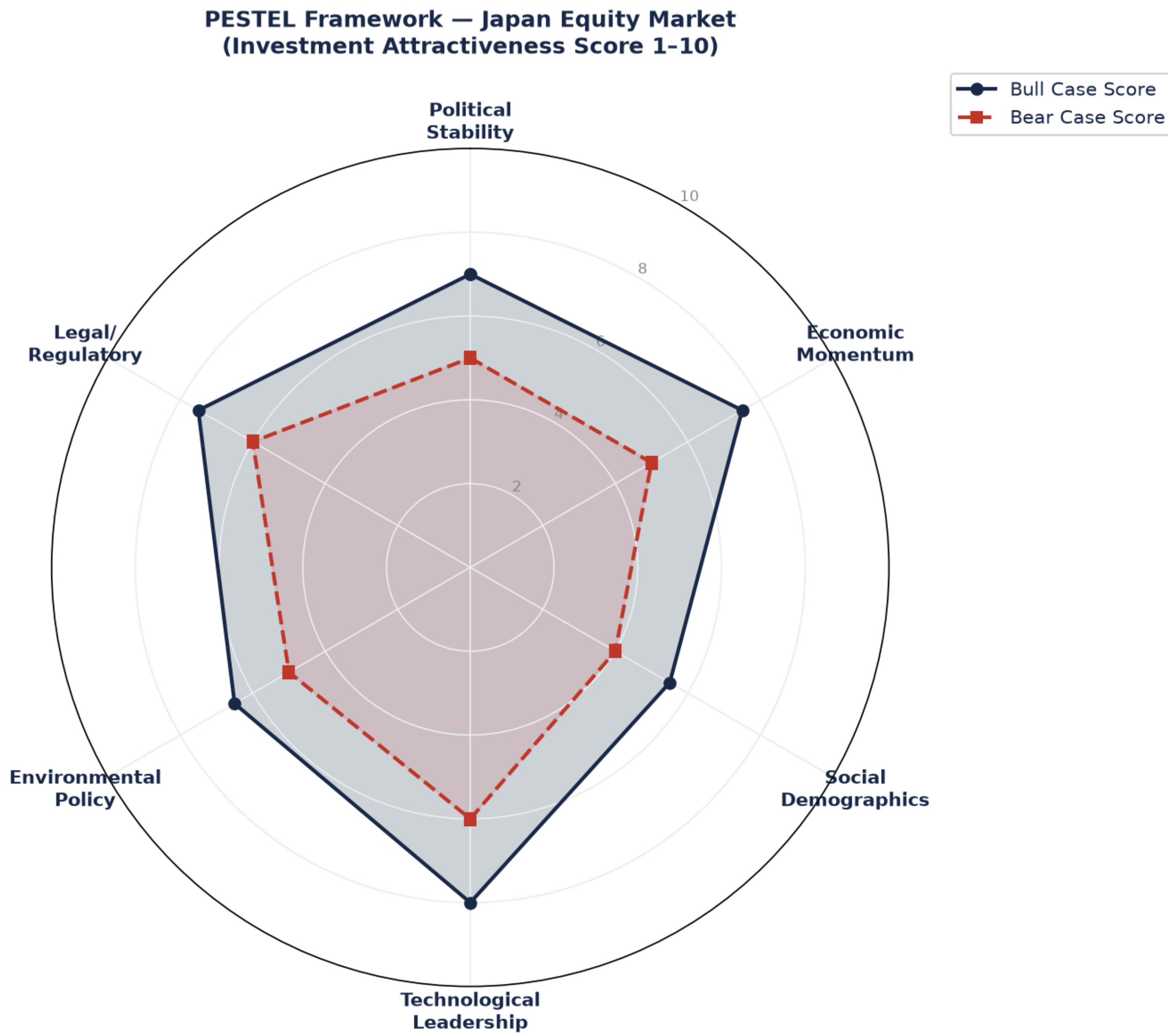
Market Snapshot (as of July 7, 2026)

Indicator	Value	Source
Nikkei 225	69,000 pts	OTC/CFD Data
TOPIX	~4,065 pts (+18.7% YTD)	Country Economy
Nikkei YTD Return	+37.4%	Country Economy
TSE Prime Forward P/E	~16.1×	GMO Research
TSE Prime P/Book	~1.5×	AInvest Analysis
TSE Prime Median ROE	~10% (FY2024E)	Best Japan Stocks
BOJ Policy Rate	1.00%	Bank of Japan
CPI (May 2026)	1.5%	Statistics Bureau
Unemployment	2.5%	MIC Japan
Foreign Net Inflows H1 2026	¥9.7 trillion	NHK World



Section 1: PESTEL Analysis

The PESTEL framework maps the six forces shaping the investment environment for Japan equities. The radar chart below illustrates relative attractiveness scores for each dimension across bull and bear cases.



Political

Score: Bull 7/10 | Bear 5/10

Prime Minister Sanae Takaichi's LDP secured a post-war record 316 seats in the February 2026 snap election, providing the most stable political base Japan has seen since Abenomics (SuMi TRUST Market Review, Feb 2026). This political consolidation has accelerated fiscal stimulus commitments — including strategic defense investments and domestic supply chain reindustrialisation — directly supportive of equities. The government's FY2026 budget adopts a stance of "responsible and proactive public finances" (Cabinet Office Japan), balancing stimulus with fiscal consolidation targets.

However, political risk is not eliminated. Takaichi's historical scepticism of BOJ rate hikes creates friction with the central bank's normalization mandate, and governance reform momentum depends on regulatory continuity between elections. US-Japan trade dynamics — while resolved at a 15% baseline tariff — remain subject to executive action and create political sensitivity around automotive lobby pressure.

Economic

Score: Bull 7.5/10 | Bear 5/10

Japan's macroeconomic backdrop has structurally shifted from a three-decade deflationary trap to a reflation regime:

- **Real GDP:** Q1 2026 growth of 0.5% QoQ SA, annualizing at 1.8% (Cabinet Office). FY2026 is projected at 1.3% real growth, with nominal GDP at ¥691.9 trillion (Cabinet Office FY2026 Outlook)
- **Inflation:** CPI at 1.5% and core CPI at 1.4% (May 2026), with inflation expectations at 2.7% — above target and entrenched for the first time since the 1990s (Bank of Japan)
- **Wages:** Shuntō spring wage negotiations delivered 4.8% nominal wage increases in 2024 — the highest since 1997 — and solid base pay rises continue in 2025–2026. This "virtuous cycle" of wages and prices is the key validation for BOJ normalization (Amundi Research)
- **Current Account:** Japan maintains a 4.7% current account surplus to GDP (OECD), reflecting structural net savings and yen carry dynamics

Bear risks are real: FY2025 growth of 1.1% was constrained by US tariff impacts on automotive, food price inflation squeezing real consumption, and sluggish potential growth. The government itself notes that "wage growth fell below inflation" in FY2025, weakening consumer purchasing power (Cabinet Office).

Indicator	FY2024	FY2025E	FY2026F	Source
Nominal GDP (¥T)	642.4	669.2	691.9	Cabinet Office
Real GDP Growth	0.5%	1.1%	1.3%	Cabinet Office
CPI Inflation	3.2%	3.1%	1.9%	Cabinet Office
Unemployment	2.6%	2.5%	2.4%	Cabinet Office
Private Investment Growth	0.9%	4.5%	2.8%	Cabinet Office

Social

Score: Bull 5.5/10 | Bear 4/10

Japan's demographic profile is the most persistent structural headwind. The population is aging rapidly, with labor force growth constrained and productivity dependent on automation and immigration — both politically contentious. Total employment stands at 7,005 ten-thousands, with the labor force growing only modestly to 6,190 ten-thousands (Cabinet Office).

However, several social shifts are equity-positive:

- **NISA reform** (launched January 2024) is accelerating domestic retail allocation into equities. New NISA accounts reached record levels, shifting household savings from cash deposits toward equities for the first time at scale
- **Consumer confidence** is recovering as real wages approach positive territory in 2026, following three years of inflation-suppressed purchasing power

- **Investor culture shift**: Corporate governance reform is changing the relationship between management and shareholders, with the TSE's cost-of-capital initiative creating genuine accountability (Harvard Law School Corporate Governance)

Technological

Score: Bull 8/10 | Bear 6/10

Technology is the highest-conviction bull driver across the medium term. Japan's government has committed ¥10 trillion ($65 billion) in AI investment through 2030, with ¥2 trillion ($13.2 billion) allocated for 2024–2025 (Introl). Corporate investment commitments reinforce public commitments:

- **NTT Corporation** is deploying $59 billion over five years through 2027
- **SoftBank** has committed over $40 billion
- **Rapidus** is targeting 2nm chip production by 2027, backed by ¥920 billion in government support — positioning Japan to challenge TSMC and Samsung in advanced logic semiconductor supply

The AI and semiconductor investment represents an inflection point. Over 2.1 GW of data center power capacity is in the development pipeline, and METI's fiscal 2025 budget includes ¥330 billion specifically for AI and semiconductor sectors. Nikkei analysis confirms that approximately 70% of the Nikkei's climb from 40,000 to above 50,000 in 2025 was driven by AI- and semiconductor-related names (Amova AM Insights).

The bear case on technology is execution risk: Rapidus has never manufactured leading-edge chips at scale, and Japan's enterprise digital adoption lags peer economies by an estimated 5–7 years in cloud and AI implementation (IPA Digital Trends 2025).

Environmental

Score: Bull 6.5/10 | Bear 5/10

Japan has committed to carbon neutrality by 2050 and 46% emissions reduction by 2030. Government investment in green technology — hydrogen infrastructure, offshore wind, advanced nuclear — creates sectoral opportunities but also imposes capital costs on heavy industry. Environmental policy is net-positive for equities through clean energy capex, but creates transition risk for energy-intensive exporters.

The Strait of Hormuz crisis in March 2026 exposed Japan's structural vulnerability to oil price volatility — oil imports of ¥153.9 trillion are projected for FY2026 (Cabinet Office) — reinforcing the urgency of energy security and diversification investment.

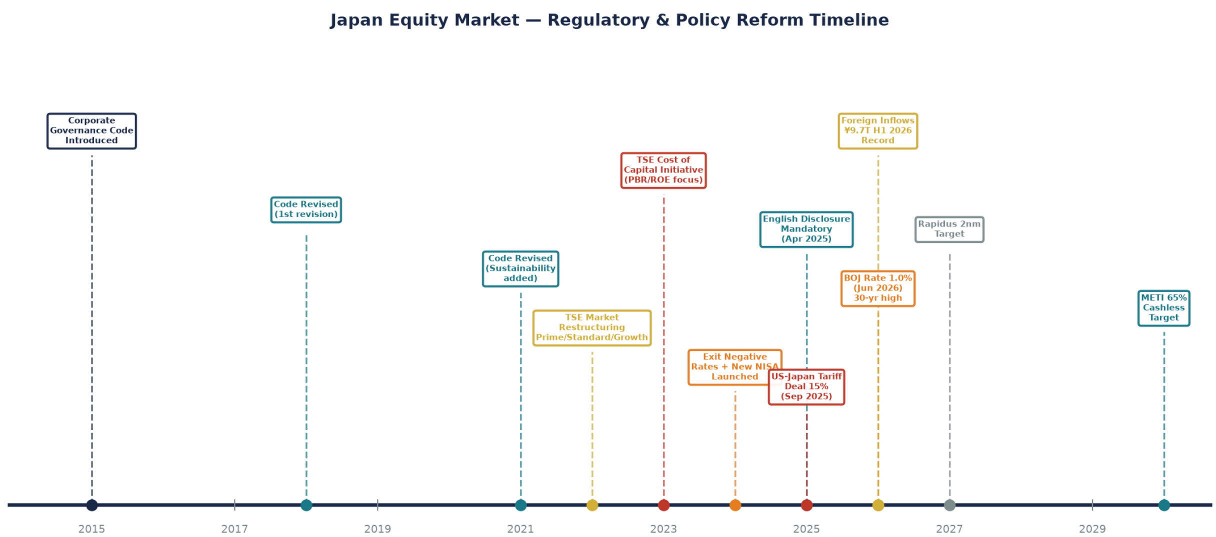
Legal / Regulatory

Score: Bull 7.5/10 | Bear 6/10

Japan's regulatory landscape for equity markets has undergone more substantive reform since 2022 than in the preceding two decades. The legal and governance framework is now, for the first time, structurally aligned with maximizing shareholder returns. Key reforms are detailed in the Regulatory Landscape section below.

Section 2: Regulatory Landscape Map

The regulatory environment for Japan equities is best understood as a multi-layer system coordinated between the Financial Services Agency (FSA), Tokyo Stock Exchange (TSE/JPX), Bank of Japan, and Ministry of Economy, Trade and Industry (METI).



2.1 TSE Market Structure Reform

The TSE's April 2022 reorganization into three segments — **Prime** (global institutional-grade, high governance), **Standard** (adequate liquidity and governance), and **Growth** (high-growth potential companies) — was the structural foundation for the current reform cycle (TSE Recent Initiatives, FSA June 2025).

The Prime Market is explicitly designed to be "an attractive market for global investors," requiring:

- High liquidity and constructive dialogue with global institutional investors
- Simultaneous English and Japanese disclosure of all material information (mandatory from April 1, 2025)
- Management focused on cost of capital and stock price — quantitative targets for ROE and PBR with board accountability

The stick: Companies failing to meet Prime Market criteria risk demotion to Standard Market, triggering exclusion from TOPIX and associated passive benchmark outflows — a material deterrent driving compliance.

2.2 Corporate Governance Code

First introduced in 2015, revised in 2018 and 2021, the Corporate Governance Code has progressively strengthened requirements for independent directors, board diversity, shareholder dialogue, and sustainability disclosures (TSE/FSA):

- **Independent Directors:** Prime-listed companies with at least one-third independent directors rose from 6.4% (2014) to 98.1% (2024) — a near-complete structural transformation
- **Cost of Capital Initiative** (launched March 2023): All Prime and Standard Market companies are requested to analyze and disclose their cost of capital, current ROE/PBR, management plans to close the gap, and progress updates at least annually
- The TSE classified companies into Group 1 (autonomously improving), Group 2 (improvement potential), and Group 3 (non-disclosing) — with follow-up surveys in April 2025 covering 1,428 companies (823 Prime, 605 Standard)

Metric	FY2022	FY2023	FY2024E	MSCI World (Ref)
TSE Prime Median ROE	~8%	~9%	~10%	~14%
TSE Prime Average PBR	1.1×	1.2×	1.4×	~2.8×
Companies with PBR <1× (Prime)	High	Declining	-6% vs 2022	—

Source: Harvard Corporate Governance Blog; JPX Follow-up

2.3 BOJ Monetary Policy Normalization

The Bank of Japan's policy normalization is the macro regime shift that anchors the reflation thesis:

Date	Action	Rate Level
March 2024	Exit negative interest rate policy (first since 2016)	+0.1%
January 2025	Rate hike	+0.5%
December 2025	Rate hike	+0.75% (30-year high)
June 2026	**Rate hike**	1.00%
2027 (projected)	Terminal rate target	~1.5–2.0%

Sources: Bank of Japan MPM Decision June 2026; BNP Paribas Economic Research

The BOJ explicitly framed its June 2026 hike as a step in "continuing to raise the policy interest rate and adjust the degree of monetary accommodation" — signaling further normalization is baseline. Real short-term interest rates remain significantly negative, meaning financial conditions are still accommodative. The planned terminal rate of ~2% by end-2027 implies two to three additional 25bp hikes.

Sectoral implications: Rate normalization is directly positive for Japanese banks (expanding net interest margins), insurance companies (improved investment returns), and trading houses — the sectors that have led the 2025–2026 rally. It is incrementally negative for leveraged REITs, rate-sensitive utilities, and heavily indebted conglomerates.

2.4 US-Japan Trade Agreement (September 2025)

The US-Japan bilateral tariff agreement established a 15% baseline tariff on Japanese imports, with specific treatment for:

- **Automobiles and auto parts**: Graduated reduction from 25% to a negotiated rate, still materially above pre-tariff levels
- **Aerospace, generic pharmaceuticals, natural resources**: Zero or minimal tariffs

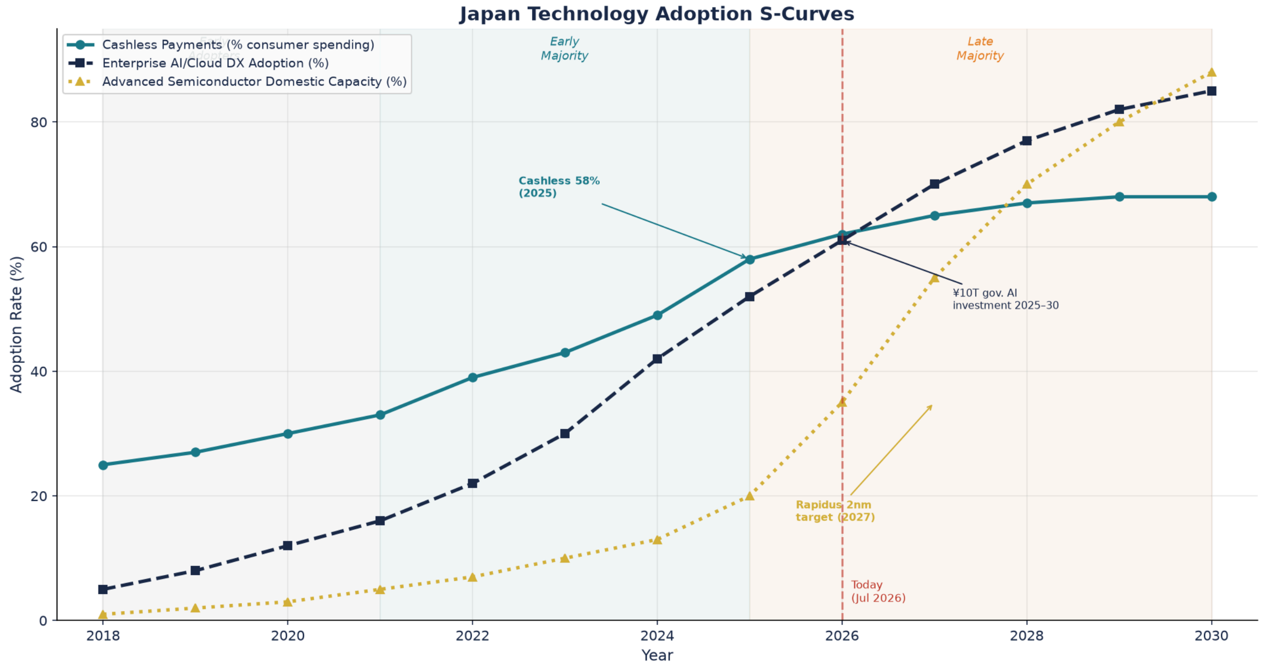
The automotive sector — accounting for ~20% of Japan's exports — faces an estimated $28 billion cumulative cost from US policy shifts (Automotive Manufacturing Solutions). Toyota, Honda, and Subaru are adjusting production to minimize US exposure, but the impact on FY2025 earnings was a net negative of ~2.0% on TOPIX profit growth (Daiwa AM 2026 Outlook).

2.5 NISA Reform (January 2024)

The reformed Nippon Individual Savings Account (NISA) doubled annual contribution limits and made the tax-free investment status permanent rather than time-limited. The policy impact has been direct and material: Japanese retail investors are increasingly reallocating household savings (historically parked in near-zero-yield bank deposits) into domestic equities and investment trusts. This domestic demand base provides a structural buffer against foreign investor cyclicality.

Section 3: Technology Adoption S-Curve Analysis

Japan's technology adoption follows a differentiated S-curve profile across three distinct domains: financial technology (cashless payments), enterprise digital transformation (AI/cloud), and advanced semiconductor capacity. Each is at a different point on the adoption curve, offering distinct risk-return profiles for equity investors.



3.1 Cashless Payments — Late Majority Phase

Japan's cashless payment adoption reached **58% of total consumer spending** in 2025, totaling ¥162.7 trillion in transaction value — a milestone achievement against a backdrop of one of the most cash-intensive consumer cultures in the developed world (Japan FinTech Observer). QR/barcode-based "Code Payments" have been the standout growth driver, capturing 10.2% of cashless transaction value (¥16.6 trillion), up from negligible levels in 2018.

S-curve positioning: Late Early Majority → Early Late Majority. The inflection point (maximum rate of adoption change) was approximately 2022–2024. The market is now in consolidation, with:

- METI setting a revised 65% domestic cashless target by 2030
- Market share competition shifting from adoption growth to transaction quality (loyalty, B2B, cross-border)
- Listed beneficiaries: Rakuten Group, NTT Data, SoftBank subsidiary PayPay, Sony Financial Holdings

3.2 Enterprise AI / Cloud DX — Early Majority Phase

Corporate digital transformation (DX) in Japan entered its rapid adoption phase in 2022–2023, accelerated by the availability of large language models and the government's push for cloud and AI infrastructure. Estimated enterprise AI/cloud adoption (as proportion of listed companies with meaningful implementation) has reached approximately 52% in 2025, with significant variance by sector:

- **Leaders** (70–90% adoption): Financial services, telecommunications, pharmaceutical R&D
- **Laggards** (20–40% adoption): Regional manufacturing SMEs, construction, traditional retail

The ¥10 trillion government AI commitment through 2030, combined with ¥2.1 GW of data center development pipeline (Introl), positions Japan's enterprise AI adoption curve to steepen further through 2027–2028. METI is incentivizing DX investment through tax credits and subsidies, creating near-term capex tailwinds for listed technology integrators.

S-curve positioning: Early Majority phase (steepest part of the curve). This is the highest-return phase for equity investors — adoption is accelerating but has not yet plateaued. Listed beneficiaries include NEC, Fujitsu, Hitachi, and NTT group.

3.3 Advanced Semiconductor Capacity — Innovator/Early Adopter Phase

Rapidus — Japan's government-backed advanced semiconductor venture — is targeting 2nm chip production at its Hokkaido facility by 2027, supported by ¥920 billion in government funding and IBM process technology licensing. If successful, this would mark Japan's re-entry into leading-edge logic semiconductor manufacturing, a space it ceded to TSMC and Samsung in the 1990s.

S-curve positioning: Innovator Phase — nascent adoption, high uncertainty, high potential. The investment thesis is binary:

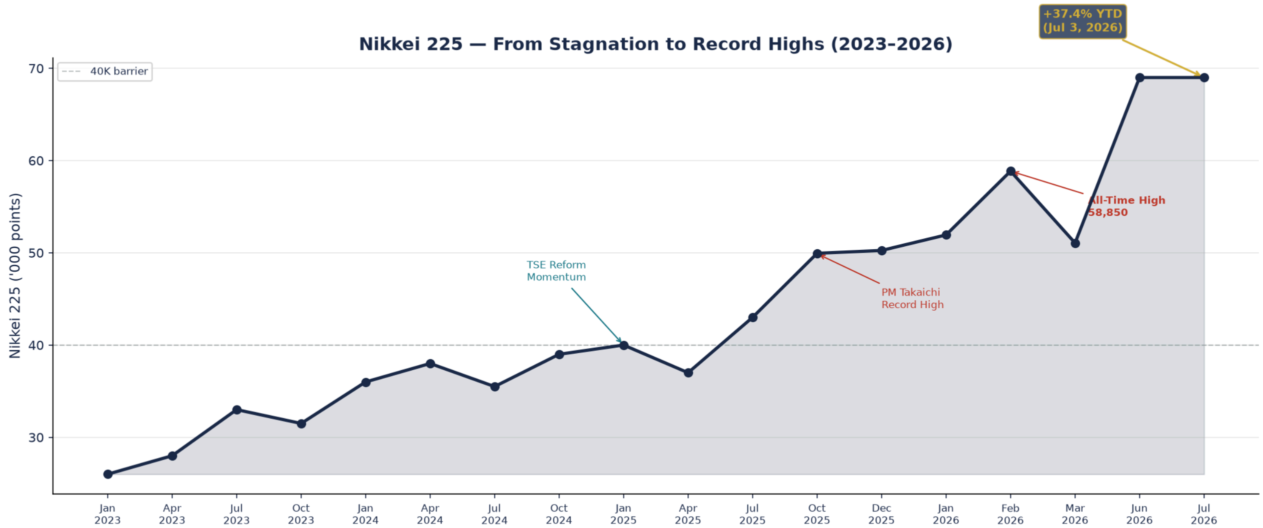
- **Success scenario**: Japan establishes a domestic ≤2nm supply chain, attracting advanced packaging and AI chip design clients, creating a new industrial cluster in Hokkaido and unlocking ¥5–10 trillion in annual semiconductor revenue by 2035
- **Risk scenario:** Technical yield challenges delay mass production beyond 2027, requiring additional government bailouts or strategic repositioning

Listed adjacencies at this stage include materials suppliers (Shin-Etsu Chemical, JSR), photolithography (Lasertec), and specialty chemicals — all of which benefit from the investment phase regardless of Rapidus's ultimate manufacturing success.

Technology Domain	Adoption Phase	2025 Level	2030 Target	Equity Opportunity
Cashless Payments	Late Early Majority	~58%	65%	Fintech platforms, payment rails
Enterprise AI/Cloud DX	Early Majority	~52%	~80%	IT services, integrators, cloud infra
Advanced Semiconductors	Innovator	~13% capacity	~55% capacity	Materials, equipment, EDA tools
Green Energy / Hydrogen	Early Adopters	~8%	~30%	Utilities, heavy industry, marine

Section 4: Equity Market Analysis

4.1 Index Performance



The Nikkei 225 and TOPIX have delivered returns that rerate Japan from a "value trap" to a "structural growth" investment destination:

- **2023:** +28.2% (Nikkei) — driven by Buffett's sogo shosha purchases signaling global conviction
- **2024:** +19.2% (Nikkei) — governance reform momentum and first BOJ rate hike since 2007
- **2025:** +25%+ (Nikkei) — AI/semiconductor rally (70% of gains), political consolidation, record foreign inflows
- **H1 2026:** +37.4% YTD (Nikkei to Jul 3); +18.7% YTD (TOPIX) — intraday all-time high of 72,831 on June 22, NHK World

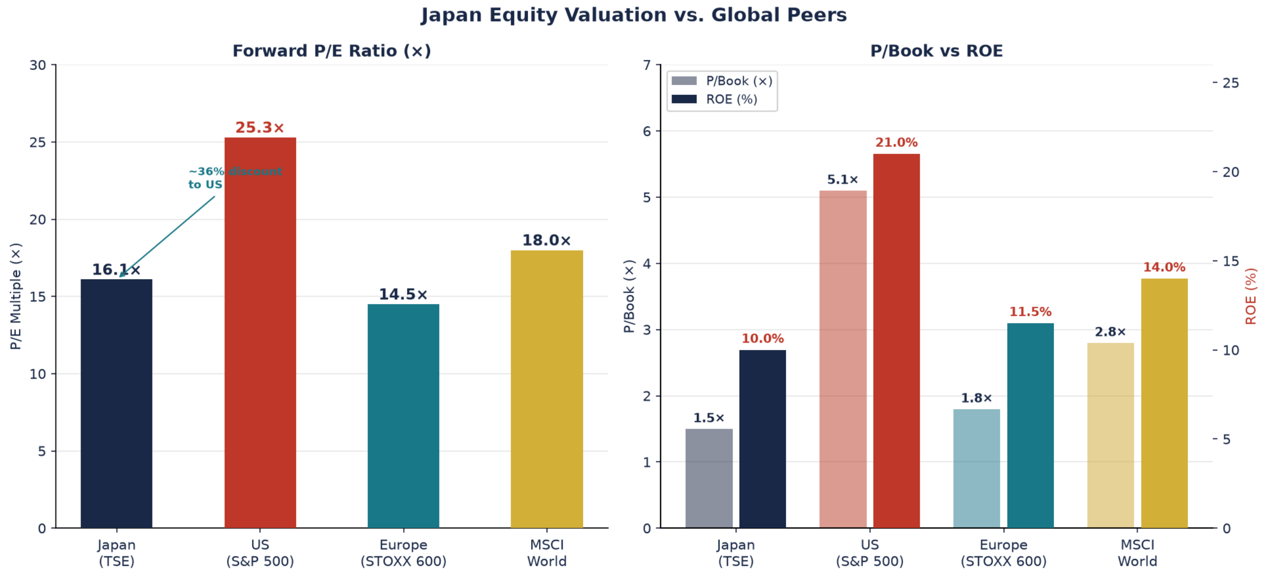
The Nikkei has outperformed TOPIX significantly in 2026, reflecting the concentration of AI/semiconductor names in the large-cap index. TOPIX, being broader, captures more of the governance reform story across mid and small caps.

4.2 Foreign Investor Flows

Foreign investors drove the 2026 record: net purchases of ¥9.7 trillion in H1 2026 — the highest ever recorded for a first half — with a record intraday Nikkei high of 72,831 on June 22 (NHK World). The investor composition reflects genuine structural allocation, not short-term momentum:

- Overseas investors net bought for 8 consecutive weeks at the start of 2026, totaling ¥5.2 trillion, driving Nikkei from 51,939 to 58,850 (+13.3%) in that window (Note.com analysis)
- More than half of foreign buyers are US-based, with ~33% European and 7% Asian — indicating this is a global structural rotation, not a regional hedge
- Japanese investors, by contrast, were the largest net sellers in May 2026 — their biggest foreign equity exit in five years — as domestic institutions repatriated capital (Reuters)

4.3 Valuation Framework



Japan's equity market trades at a compelling discount to US equities on almost every metric, while showing structural improvement in return metrics:

Metric	Japan (TSE)	US (S&P 500)	Europe (STOXX 600)	MSCI World
Forward P/E	16.1×	25.3×	14.5×	18.0×
Price/Book	1.5×	5.1×	1.8×	2.8×
ROE	~10%	~21%	~11.5%	~14%
EV/EBITDA	6.3×	—	—	—

Sources: GMO Japan Equities; AInvest Market Analysis; DBS CIO Insights

The Japan discount to the US (36% on P/E) has historically been seen as justified by lower ROE. That justification is eroding — Prime Market median ROE rose from ~8% (FY2022) to ~10% (FY2024E), and TOPIX consensus forecasts project ROE to exceed 10% in FY2026 and continue rising. The remaining gap to MSCI World's ~14% represents the "reform dividend" that investors are pricing as multi-year upside.

GMO's analysis confirms the return profile: since 2018, MSCI Japan compounded at 14.2% annualized, with ~two-thirds from fundamental improvements and one-third from multiple expansion (GMO). The 7-year forecast implies a 10.5% real return for Japan small value in USD terms.

4.4 Sector Positioning

Sector	Thesis	Key Catalyst	Risk
Financials (Banks)	Direct beneficiary of rate normalization — NIM expansion, reduced JGB losses	BOJ rate path to 1.5–2% terminal	Credit cycle deterioration in domestic SMEs

Sector	Thesis	Key Catalyst	Risk
Semiconductors & Equipment	AI capex supercycle; Rapidus ecosystem build-out	¥10T government AI commitment	Geopolitical supply chain disruption
Industrials	Corporate restructuring + capex cycle revival	Infrastructure spending, defense budget doubling	US tariff exposure in machinery exports
Insurance	Cross-shareholding unwind frees capital; higher investment yields	Governance reform enforcement	Cat risk, long-tail liability mispricing
Consumer Discretionary	Wage growth → real consumption improvement	Positive wage-price spiral	Food inflation continuing to erode disposable income
Healthcare / Pharma	Defensive + structural digital health growth; M&A-driven upside	Aging population demand tailwinds	Drug price reform, regulatory approval timelines
Telecoms / Retail	Contrarian — currently undervalued vs. historical averages	Reform-driven re-rating as management improves	Low pricing power, NISA competition for retail deposits

Source: Man Group; DBS CIO Q4 2025; Amundi Research

4.5 Earnings Outlook

TOPIX consensus earnings growth (excluding SoftBank Group) is expected to accelerate from +4% YoY in FY2025 to **+14% in FY2026**, with FY2027 consensus at +10% (Daiwa AM 2026 Outlook). The FY2026 rebound is driven by:

1. **Automotive/Tariff recovery**: Toyota and peers had tariff-related drags of -2.0% pts on TOPIX net profit in FY2025; FY2026 consensus expects a +2.7% pt reversal
2. **Financial sector earnings expansion**: Banks benefiting from the full-year effect of the December 2025 rate hike plus the June 2026 hike
3. **Technology sector growth**: AI infrastructure capex flowing through IT services revenue

Daiwa Asset Management projects Nikkei Average to reach ¥56,000 by end-2026 and ¥60,000 by end-2027 as a base case, with upside risks if structural reforms accelerate PER expansion to 16.3–16.5×.

Section 5: Risk Assessment

Macro and Geopolitical Risks

Risk	Probability	Equity Impact	Mitigant
BOJ rate shock — faster-than-expected hikes triggering yen strengthening and export earnings compression	Medium	High negative (especially exporters, leveraged plays)	BOJ gradualism and data-dependency provide lead time

Risk	Probability	Equity Impact	Mitigant
US-Japan tariff escalation — re-imposition of 25% automotive tariffs	Low-Medium	Moderate negative (autos, steel, heavy machinery)	US-Japan deal provides temporary floor; bilateral diplomatic ties
China slowdown — reducing demand for Japanese capital goods exports	Medium	Moderate negative (machinery, materials)	Domestic demand recovery partially offsets export headwinds
Geopolitical tail risk — Middle East disruption (Strait of Hormuz) causing oil spike	Realized (Mar 2026)	Elevated energy costs, marine/energy outperforms	Portfolio hedge via energy/marine sector exposure
Cross-shareholding unwinding pace risk — acceleration triggers short-term selling pressure	Low	Sector-specific (insurance, banks releasing equity)	Buyback programs absorb capital released

Governance Reform Risks

The TSE reform program's Achilles heel is enforceability. The "comply-or-explain" principle means companies can perpetually disclose plans without executing — and the TSE's stick (Prime demotion) is credible only for a subset of companies. Best Japan Stocks analysis identifies the practical screen: companies with PBR 0.7–1.2×, ROE trending toward 10%+ with DuPont drivers showing margin and turnover improvement (not just yen effects), buyback execution rate above 80%, and declining cross-shareholding ratios represent the highest-conviction subset of the reform story.

The 2026 window is structurally constrained: TSE review pressure, AGM proxy dynamics, and potential MSCI rebalancing inflows create a 12–18 month period where reform-compliant companies may see accelerated re-rating.

Section 6: Investment Implications and Conclusions

Structural Bull Case

Japan's current equity rally combines three mutually reinforcing drivers not seen simultaneously since the 1980s:

1. **Corporate governance reform** generating genuine earnings improvement — ROE rising from 8% to 10%+ with further room to close the 14% MSCI World gap
2. **Monetary normalization** validating Japan's exit from deflation — the BOJ rate at 1.00% confirms inflation is anchored and the reflation thesis is structural, not cyclical
3. **Technology investment supercycle** — ¥10 trillion in AI/semiconductor commitments creating a multi-year capex wave directly translating to listed company revenue

The foreign investor base — ¥9.7 trillion net inflows in H1 2026 — is institutionally sophisticated and strategically allocated, not momentum-driven. This inflow quality supports durability.

Key Recommendations for Portfolio Positioning

Theme	Conviction	Suggested Exposure
Financial sector re-rating	High	Megabanks (MUFG, SMFG, Mizuho), property/casualty insurance
AI/semiconductor ecosystem	High	Shin-Etsu Chemical, Lasertec, NEC, NTT group
Reform-driven mid/small cap	High	SMID stocks with PBR 0.7–1.2× and rising ROE trajectories
Domestic demand recovery	Medium	Consumer discretionary, healthcare (defensive + DX upside)
Contrarian re-rating	Low-Medium	Telecoms, traditional retail (long reform runway but low visibility)
Automotive	Cautious	Tariff headwinds persist; wait for FY2026 guidance clarity

Monitoring Framework

Investors should track these indicators for regime change signals:

- **BOJ rate path:** Any accelerated hike schedule (above 25bp per meeting) would signal yen strengthening risk and earnings compression for exporters
- **TSE PBR/ROE progress:** Quarterly updates from TSE on company disclosure rates — any stall in Group 3 companies moving to compliance signals reform fatigue
- **TOPIX EPS revisions:** Consensus upgrades to +14% FY2026 EPS growth are the key validation point; downward revisions driven by yen strengthening would reduce structural conviction
- **Foreign net flow sustainability:** A sustained multi-month reversal of the ¥9.7T H1 2026 inflow pace would signal positioning change among global allocators
- **Rapidus production timeline:** Any delay beyond Q1 2027 for Hokkaido facility readiness would dampen semiconductor investment thesis

Report prepared July 2026. All market data as of July 7, 2026. Macroeconomic data from Cabinet Office of Japan, Bank of Japan, Ministry of Finance Japan, Statistics Bureau Japan, FSA Japan. Market data from Tokyo Stock Exchange / JPX, Bloomberg, Reuters. Equity analysis from Daiwa Asset Management, BlackRock, Amundi Research, GMO, Man Group. This report is for informational purposes only and does not constitute investment advice.